

If you're a swing trader, I'd place a buy order a penny above the top trendline (or a penny below the bottom trendline). You may suffer a premature breakout, but you'll be into the trade in a more timely manner, and probably at a better price than waiting for the opening price a day after a breakout.

Tall rectangle scalp. If the rectangle is tall enough, consider placing an intraformation trade near the two trendlines. Short at the top when price begins descending, and cover when it nears the bottom trendline. At the bottom, buy long and sell when price nears the top trendline. Keep in mind that price might break out downward or upward, respectively.

Only try this type of trading if you're an experienced swing trader and only if the rectangle is tall enough (perhaps in one direction only, like upward in bull markets and hope for an upward breakout, so you'd hold on longer at the top trendline).

Throwbacks, pullbacks. Throwbacks and pullbacks allow investors or traders another opportunity enter a new position, add to an existing position, or get out with a smaller loss. Consider taking advantage of it, but wait for price to complete the throwback or pullback before placing a trade. The reason for waiting is that price may continue in the adverse direction.

Other. Sometimes, rectangle bottoms form as the corrective phase of a measured move chart pattern. See [Chapter 46](#), Measured Move Down, for information on how to take advantage of the situation.

Stop location. [Table 51.7](#) discusses where to place a stop-loss order. Don't forget to change the potential loss into a percentage of the current price to see if you can tolerate such a loss.

Busted trade. See [Table 51.9](#) when considering trading a busted pattern. Busted downward breakouts in bull markets work especially well if the rectangle single busts. And single busts happen two-thirds of the time. Hint. Hint.